Second, India's proximity to the Soviet Union, in terms of interests as well as geography, required close consideration in developing a foreign policy. These factors ultimately led India to support adopting non-alignment. As the world's largest democracy, and with close links to Britain, India seemed a natural fit in the Western bloc. Yet having visited the Soviet Union in 1927, Nehru admired its successful and rapid industrialisation and retained a positive opinion in the 1940s based on the socioeconomic progress he had witnessed earlier. Even in its nascent stage, Indian development represented a mélange in which democratic structures and a partially planned economy were combined. Given this dynamic, it has been argued that India was not well positioned to reject decisively the ideology of either Cold War camp.[9] India's geographic proximity to the Soviet Union, and to China, contributed further to inhibit any likelihood of hostility based on ideology.

The socioeconomic situation in India at independence formed a third factor underlying non-alignment. India's economy in 1947 was stagnant. Some 60 percent of its GDP was derived from an agricultural sector that depended on monsoon rains and struggled to meet the demands of a growing population.[10] The condition of an already-insufficient industrial sector was worsened by partition, and the creation of Pakistan led to an influx of millions of refugees. Faced with widespread hunger and poverty, Nehru believed that peace was a prerequisite for development and that non-alignment was a prerequisite for peace.[11] By establishing a non-threatening existence, non-alignment would theoretically allow India to minimise defence expenditures, reduce the chances of costly conflict, and draw on multiple sources of aid without strict preconditions. Throughout the 1950s and 1960s, India was indeed successful in attracting financial and technical assistance from a variety of industrialised countries and by 1960 had